

HALF-YEAR ECONOMIC AND FISCAL UPDATE OF 2020

MINISTRY OF FINANCE AND ECONOMIC MANAGEMENT

Fiscal Responsibility

This Half Year Economic and Fiscal Update has been prepared in consistency with the Public Finance and Economic Management Act. The document has been prepared in agreement with the principles of responsible fiscal management as specified in the Act.



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OVERVIEW

Taking into account the effects of the on-going Coronavirus Disease of 2019 (COVID-19) pandemic around the world, the International Monetary Fund (IMF) projected a decline in global GDP, a measure of total production, of 4.9 per cent in its World Economic Outlook (WEO) June 2020 – a deeper contraction than the 3.0 per cent decline projected in its April 2020 forecast. This means that the pandemic is causing more damages and lasting longer than previously anticipated. The crisis is more severe than the 2007-08 Global Financial Crisis, because it has brought two effects: namely a health crisis, but also a huge economic cost affecting all economies around the world. All countries must continue to ensure their health care systems are sufficiently resourced especially those with high infection rates.

Globally, lockdowns began about mid-March through to mid-May, according to the International Labour Organisation (ILO), showing a global decline in work hours in quarter 1 of 2020 compared to quarter 4 of 2019. This is equivalent to a loss of 130 million full-time jobs. The IMF has stated that in 2020, 95.0 per cent of the world's regions are for the first time projected to experience declines in output before recovering over the medium term. Global trade will suffer a deep contraction in 2020 of 11.9 per cent, reflecting weaker demand for goods and services including tourism. The global inflation outlook remains subdued, reflecting the tirelessly weak aggregate demand.

With the two on-going crises in Vanuatu, COVID-19 and Tropical Cyclone (TC) Harold, the Macro-Economic Committee (MEC) has revised its domestic economic growth in 2020 significantly downwards from the 3.4 per cent forecast at the time of 2020 Budget to 0.6 per cent in the MEC-2 forecast made in May. TC Harold inflicted substantial damages on the northern islands, hitting the Agricultural sector severely. While Vanuatu has remained COVID-19 free thus far, the economic impacts of the global COVID-19 pandemic, predominantly the closure of borders and harm to global trade, have had negative spill over effects on the Vanuatu economy, which has seen notable weakening of business confidence and weaker private sector consumption. Nonetheless, economic growth in 2020 is expected to remain positive on account of the Government's TC Harold recovery efforts, the Economic Stimulus Package and donor support, as well as the implementation of several development projects planned for this year such as infrastructure projects and the 11th EDF.

Over the medium term, growth is projected to be robust, driven mainly by a rebound in the Agriculture and Industry sectors in line with the TC Harold recovery programs as well as the Services sector subject to a well-coordinated and managed border reopening in September and flow on effects of COVID-19. While a 'Trans-Tasman Bubble' remains a possibility, the major downside risk is that COVID-19 infections are not brought under control and borders do not reopen to tourists come 2021. Currently, public sector investment and increased domestic consumption should together help to speed up the recovery and boost growth going forward. GDP growth is forecasted to reach 4.0 per cent in 2021, 4.6 per cent in 2022, 3.7 per cent in 2023 and 2.6 per cent in 2024.

To date this year, the total net operating balance of the Government excluding donor funds is positive, with an operating surplus of VT 3,798.3 million which is equivalent to 3.5 per cent of GDP. Within this same period, the Government's net lending position excluding donor financing recorded VT 3,344.6 million (3.1 per cent of GDP). This unique strong fiscal position has allowed the Government to implement its historic policy on stimulus uninterrupted. Further, the healthy net lending position has also facilitated planned loan prepayments and advances to certain State Owned Enterprises (SOEs).

Government receipts for the first half of 2020 came to VT 18,486.7 million, which is a 22.6 per cent increase over the same period last year (see Table 1). Tax revenue recorded VT 8,403.7 million, which is 1.8 per cent less than in 2019. Revenue from the honorary citizenship programmes, VDSP and VCP, in the first six months of 2020 totalled VT 7,094.2 million, which is 32.2 per cent higher than in the first six months of 2019. Government expenses in the first six months this year came to VT 14,688.4 million, which is 22.2 per cent higher than in the first six months of 2019.

Table 1: Summary of fiscal aggregates, excluding donor funds, from 2018 – 2020, VT millions

	Actuals 2018	Actuals Jan – June 2019	Actuals Jan – Dec 2019	Revised Budget 2020	Actuals Jan – June 2020
Revenue	30,508.2	15,078.2	33,733.2	33,568.5	18,486.7
Expenses	21,924.5	12,018.9	25,573.6	34,474.8	14,688.4
Net Operating Balance (Revenue minus expense)	8,583.7	3,059.3	8,159.6	-906.3	3,798.3
Acquisition of Non- Financial Assets	599.3	399.4	1,000.9	3,163.8	453.8
Net Lending / Borrowing (Net Operating Balance minus net acquisition of nonfinancial assets)	7,984.4	2,659.9	7,158.7	-4,070.0	3,344.6
Net Lending / Borrowing as a percentage of GDP	7.4%	2.4%	6.4%	-3.7%	3.1%

Source: Department of Finance and Treasury

WORLD ECONOMIC OUTLOOK

The emergence of COVID-19 in December 2019, which was declared a pandemic in March 2020, has drastically changed the global economic outlook for this year, 2020. The IMF, in the June 2020 edition of their WEO, revised their prediction of global growth in 2020 further downwards to a reduction of 4.9 per cent, which is 1.9 percentage points below the April WEO 2020 forecast. The COVID-19 pandemic has inflicted deep wounds on production globally in 2020, and the recovery is projected to be more gradual than previously predicted. In 2021, global activity is projected to bounce back, with 5.4 per cent growth, a 0.4 percentage points lower than the April WEO 2020 forecast.

The June WEO 2020 forecast for the advanced economy group as a whole projected an 8.0 per cent contraction in 2020, 1.9 percentage points lower than the April WEO 2020. There are major headwinds to growth, leading to the following forecasts for individual economies: a contraction is expected in the United States of -8.0 per cent; in Japan -5.8 per cent; the United Kingdom -10.2 per cent; Germany -7.8 per cent; France -12.5 per cent; and contractions in Italy and Spain are both forecast at -12.8 per cent. These economies are expected to recover in 2021 with growth for the advanced economy group expected to surge to (positive) 4.8 per cent.

Table 2: Summary of World Economic Outlook (WEO) June 2020

	2019	2020	2021
Global Economies	2.9	-4.9	5.4
Advanced Economies	1.7	-8.0	4.8
Emerging Markets & Developing Economies	3.7	-3.0	5.9

Source: International Monetary Fund June 2020 WEO

Among the emerging market and developing economies, the downgrade in growth reflects large spill overs from weaker external demand. Reduction in output in this group is forecasted at 3.0 per cent for 2020, 2.0 percentage points lower than the April WEO 2020 forecast. The Indian economy is projected to contract by 4.5 per cent, more pronounced than that forecasted in the April WEO. In China, growth is projected to be at 1.0 per cent in 2020, a 0.2 percentage point downward revision from the April WEO 2020. The Chinese economy is recovering from the sharp decline during the first quarter, supported by stimulus policies, with growth projected at 1.0 per cent (a slight decline of 0.2 percentage points from the April WEO 2020) before accelerating to 8.2 per cent in 2021. In Latin America, most countries are still struggling to contain infections; Brazil and Mexico are projected to contract by 9.1 per cent and 10.5 per cent respectively in 2020.

Global economic policy responses have again been at the forefront of the current COVID-19 crisis. For advanced and emerging market economies, the policy responses have been expansionary with diverse magnitudes of flow-on effects to their economies. Financial conditions have eased globally supported by carefully selected policy countermeasures. These have mitigated much of the anticipated global economic fallout while restoring hope in financial markets.

Countermeasure policies, including reduced working hours, social distancing and temporary financial assistance, have affected production thereby disrupting the global supply chain. Sizeable recessionary output gaps were recorded across the global economy as consumption plummeted, leading to a sizeable deterioration in demand. Major uncertainties have delayed investment decisions and have prompted surges in global savings. With the reduction in both consumption and investment, global trade contracted by 3.5 per cent (year-on-year) as of April 2020. These events have put additional pressure on global prices, which have remained very low since January this year; exacerbated by the dramatic decline in the global price of oil. This is all further compounded by low non-fuel commodity prices which have reduced global demand even more, despite timely policy support.

Against this backdrop, 2020 inflation projections around the world have been revised downwards, especially for advanced economies. Developments in exchange rates across the globe have reflected these events with most currencies depreciating against the U.S. dollar, which is considered to be the safest currency in a crisis. With the recent improvement in financial sentiment, FDI and portfolio investment are recovering and currencies around the world are slowly regaining momentum. This eases downward pressure on countries' international investment positions (particularly emerging market and developing economies as destinations for FDI) which ultimately may help employment to recover.

VANUATU ECONOMIC OUTLOOK (VEO) UPDATE

REAL SECTOR UPDATE

Activities within Vanuatu's economy contracted during the first half of 2020. Like most economies around the world, the global pandemic led Vanuatu to close its international borders and restrict domestic movement. Vanuatu's economy is massively driven by the services sector, which includes the subsectors that fall within the tourism industry. However, the industrial sector continues to remain the fastest growing sector, as it has been for the past 5 years.

Domestic economic growth is forecast to be 0.6 per cent in 2020, 4.0 per cent in 2021 and 4.6 per cent in 2022. The 2019 growth estimation was revised from 3.0 per cent during 2020 budget preparation to 3.4 per cent in the MEC meeting in quarter 2 of 2020. The current forecast has been updated to reflect the dual disasters of COVID-19 and TC Harold. The recent GDP statistics reported by the Vanuatu National Statistics Office (VNSO) show that Vanuatu's economy experienced a GDP¹ growth of 2.9 per cent in 2018.

Over the medium term, growth is projected to be robust, driven mainly by a rebound in the agricultural and industrial sectors in line with TC Harold recovery programs, as well as the services sector if COVID-19 is controlled and borders reopen to tourists. The threat of COVID-19 is expected to be over in the medium term, after which economic growth is expected to be driven by the agriculture and industrial sectors, particularly in the implementation of the 11th EDF program and TC Harold recovery programs. There is a downside risk that COVID-19 is not contained globally and that borders remain closed; an upside risk is a 'Trans-Tasman Bubble' being in place before the end of 2021.

Table 3: Major Economic Indicators (in percentage change)

Growth Indicators	Actual				Estimate 2019	Projection					
	2015	2016	2017	2018		2020	2021	2022	2023	2024	2025
Agriculture Fishing & Forestry	15.8	5.1	0.4	0.9	3.7	-12.3	0.8	3.9	3.9	3.5	3.6
Industry	35.4	4.2	7.1	4.9	9.2	21.9	13.5	13.9	8.0	1.2	1.2
Services	2.0	2.9	2.9	0.8	2.3	0.3	2.8	2.7	2.6	2.6	2.6
Real GDP (constant prices)	0.2	3.5	4.4	2.9	3.4	0.6	4.0	4.6	3.7	2.6	2.6
GDP Deflator	4.9	1.8	5.1	2.3	2.6	1.2	4.2	2.8	3.1	3.4	3.7
Nominal GDP (current prices)	5.0	5.4	9.7	6.2	6.1	1.9	8.3	7.5	6.9	6.1	6.4

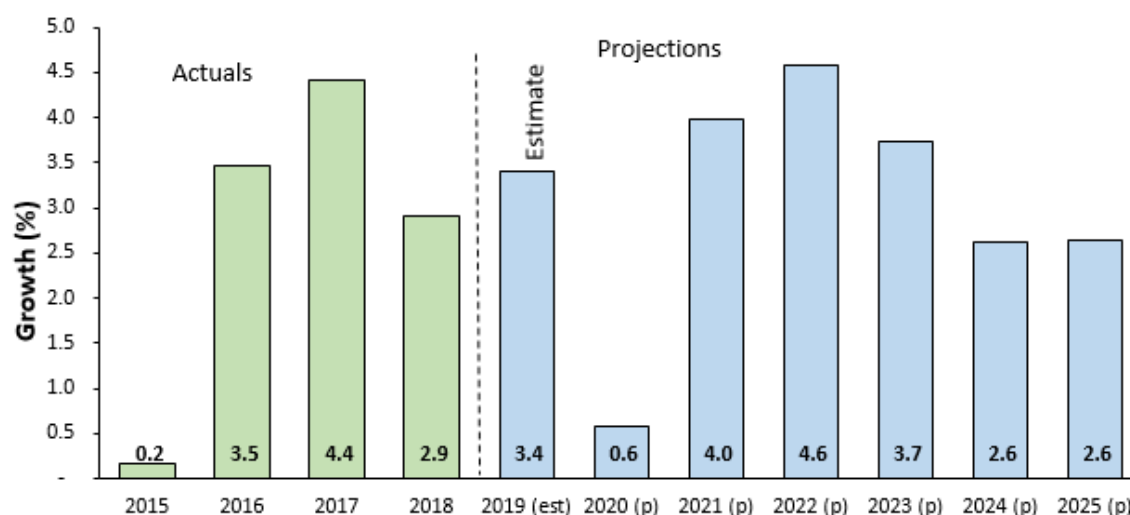
Source: Vanuatu National Statistics Office & Macroeconomic Committee (MEC) estimates

Domestic economic activities have been subdued while international borders are closed and since the arrival of TC Harold. Disruptions to global trade caused by the COVID-19 crisis have made it difficult for Vanuatu businesses to continue trading, especially internationally. The border closures have made international tourism impossible, causing great harm to the services sector. The agriculture and industrial sectors were expected to partially offset the damage to the services sector; short lived by the unwelcome arrival of TC Harold, bulldozing its way across the agricultural islands to the northern-most part of Vanuatu. However, consumption is likely to remain solid, supported by the current expansionary economic policy, which includes the economic stimulus package, TC Harold recovery activities and VNPF pay outs. The current expansionary policy environment is anticipated to boost aggregate demand. The domestic land and property markets are also expected to remain solid especially in the islands of Santo and Efate, with demand mainly coming from the domestic market.

¹ GDP figures are expressed in real terms.

In the second quarter of 2020, the expansionary economic policy drove most of the activities in the economy with budget support from donor partners due to the dual crises that the country is facing². The current expansionary fiscal policy stance is expected to increase domestic demand and boost growth going forward but may also bring temporary inflationary pressure especially for the local foods in the roadside markets and the main Port Vila local market. Public debt continues to remain at a manageable level but the future growth trajectory is likely to rise driven by domestic bond issuance.

Chart 1: Real Gross Domestic Product (in per cent change)



Source: National Statistics Office & Macroeconomic Committee (MEC) Estimates

AGGREGATE SUPPLY

The Government continues to implement the 11th EDF program to boost the agricultural sector and during the COVID-19 crisis, households are encouraged to grow food in their gardens. Farmers are encouraged to sustain and diversify their produce across the business cycle, given the impact of climate change. The Government, with the help of development partners, continues to support smallholder agricultural farmers through replanting programs for commodities including coconut, cocoa, coffee and kava.

In the industry sector, TC Harold recovery construction activities are expected to continue throughout 2020 and over the medium term, stimulating the economy through construction activities. Previously the largest sector in Vanuatu's economy, the service sector has been greatly impacted by the border closures across the region as protection against COVID-19, which have affected international tourists entering Vanuatu. The effects over the medium term, is only likely to be visible in 2021 due to lag effects.

Agriculture Sector

The 2020 growth forecast for the agriculture sector was revised downwards from 3.7 per cent at the time of formulating 2020 budget to a massive contraction of 12.3 per cent. This reflects the damage

² Read section on fiscal update.

sustained by all sub-sectors of the Agriculture sector due to TC Harold and to a minor degree by COVID-19, which has resulted in reduced demand from the tourism industry as well as disruption to international trade, paralysing the entire production of agriculture goods for export.

The major commodity exports, copra, kava, cocoa and coffee, all showed positive growth in 2019 according to the VNSO 2019 QSI. Further, beef production and fishing for export also showed growth last year, thanks to the Sino-Van Fisheries Ltd processing plant and export project, increasing the total estimated growth in the sector in 2019 from 3.0 per cent at budget to a revised growth estimate of 3.7 per cent.

Crop production alone is forecast to drop by almost 15.0 per cent. This decline is 5.0 percentage points lower than what was experienced by the sub-sector in the aftermath of TC Pam back in 2015, and is the steepest decline in ten years. Subsistence agriculture normally makes up more than 70.0 per cent of total crop production, but has been crippled by the destruction caused by TC Harold, destroying the majority of the rural population's staple food sources. Commercial agriculture was not immune to the cyclone either; it too is forecast to decline by almost 14.0 per cent this year, however, the pandemic has also slightly boosted growth in crop production, as imports are affected by the disruptions to global trade. Over the medium term, the category of fruit and vegetable production is expected to increase, supported by the 11th EDF program while export price elasticity will be the main determinant to the level of production in cocoa, coffee and kava. The low crude oil price may reduce the demand for copra (a close substitute for crude oil to make energy), however the Government copra subsidy program will sustain production in 2020.

Animal production is expected to experience a huge decline in 2020, with a contraction of just over 15 per cent projected. While the cyclone has caused huge loss of livestock reared for both commercial and subsistence purposes, further losses in the near future are expected, as food sources and shelters have been damaged and, in some cases, could take time to be rebuilt. A large decline in demand for beef from both the tourism industry and export markets due to COVID-19 is also expected. Growth in animal production over the medium term is expected to remain above 2 per cent.

Although the revised growth projections for the forestry and fishing sub-sectors are significantly lower than the budget forecast, they are both still positive. The growth forecast for the Forestry sector has been revised downwards to 0.2 per cent from the 4.9 per cent forecast originally, while the growth forecast in the fishing subsector has fallen from 18.9 per cent to 7.3 per cent. The biggest decline in percentage terms is expected in the forestry and logging subsectors, with both sustaining extensive damage from TC Harold, although part of the timber production is currently being used for reconstruction. The only upward revision was for firewood due to the prevalence of damaged trees which will now be used for firewood instead of being logged. Prior to the cyclone, the Department of Forestry started a forestry stock-taking survey aimed at advising policy-makers on possible methods to commercialising the sector. The growth in the fishery sector averaged 4.2 per cent per year from 2014 to 2019, particularly due to recent developments such as the Sino-Van fish project that supplies fish at affordable prices to domestic markets and also boosts exports, mainly to China. Both Forestry and Fishing subsectors are expected to rebound over the medium term.

Further to the damage caused by TC Harold, the global impacts of the COVID-19 pandemic have weighed negatively on the Agriculture sector. Local demand for crops, meat and fish from restaurants to feed tourists has dried up substantially. Internationally, border closures and global trade disruptions have harmed Vanuatu's exports. While the prospects for the agriculture sector in 2020 are bleak, a few projects set for this year sponsored by both the Government and its donor partners, such as the 11th

EDF, are expected to mitigate the negative growth that would have resulted otherwise. Overall, a strong rebound is expected over the medium term.

Industry Sector

With the aim of mitigating the damage that these two crises would have had on the domestic economy without government intervention, the Government has developed policies to help the Industry sector to maintain its position as the fastest-growing sector.

The highest growth registered in this sector will come from the construction subsector. As the population engages heavily in repairs and the erection of new buildings in the aftermath of the cyclone, the sector is projected to register 40.0 per cent growth in 2020. Growth is then expected to moderate over the projection period. On its quest to fast-track project implementation for low value procurement at the same time mitigate the worst global crisis, the government relaxed its low value procurement requirements in order to encourage realisation of public investments and the same time providing much needed employment to the construction sector. With looming signs of global imbalances including the trade tensions between the most major super powers of China and the USA, advanced policy response from the Vanuatu authority was prepared to weather the possible trade war crisis with ramping up of additional financial resources for the construction sector, in particular feeder roads to facilitate seamless connectivity on goods and people across islands faster. Some grant-funded projects including the Ministry of Finance Complex, Ministry of Foreign Affairs and the State House have been delayed due to COVID-19. The implementation of the delayed projects is expected to sustain growth and reduce unemployment over the medium term. The Government is committed to fast-tracking public projects, especially those funded by the Government, in order to stimulate domestic demand and reduce unemployment.

Historically, changes in Mining and Quarrying have correlated with those experienced by Construction. Accordingly, the sub-sector's growth forecast was also revised upwards by 7.9 percentage points to 27.9 per cent after accounting for the impacts of COVID-19 and TC Harold. Over the medium term, year-on-year growth is expected to average 29.0 per cent.

As a result of both disasters, the Manufacturing and the Electricity and Water Supply sub-sectors are also both expected to decline this year. The closure of Vanuatu's international borders and disruptions to global trade have harmed Vanuatu's exports of manufactured goods. TC Harold aggravated the issue as it damaged many of the buildings and the facilities used by manufacturers. The closure of borders across the region and consequential lack of tourists mean that the hospitality industry which is a major consumer of high-power voltage will reduce its consumption of water and electricity. Some disruption was also experienced as a result of the damage caused by TC Harold, however this is now restored.

The Manufacturing and the Electricity and Water Supply sub-sectors are expected to rebound over the medium term. Annual growth in this sub-sector is expected to average 3.8 per cent over the next five years on account of the continuous expansion of utility networks around Efate and rural communities by utility providers on Efate, Tanna and Malekula. The industry is expected to recover its health, supported by recent developments such as the hydro projects on Malekula and in Talise on Maewo, as well as the Sarakata upgrade that is expected to expand the power grid along the East coast of Santo to Port Olry.

During the Quarter One business survey, other companies in the Industry sector claimed that, despite having lobbied on their behalf for a long time, the Utilities Regulatory Authority (URA) has yet to convince utility service providers to reduce tariffs to more affordable levels. These high rates paid by

businesses in Luganville were to subsidize the electricity rates for low income households. In Port Vila, the high electricity tariff reflects the past concession agreement between the Government and Unelco with a biased price model having the Price of Electricity in Port Vila subsidizing those on Tanna and in Lakatoro. However, the pricing model for electricity has a lot of implications for high end users. That is, middle income earners are heavily subsidizing the hotel and restaurant chains as evidenced by the biased price model revealed by Unelco. Further, the current concession agreement between Unelco and the Vanuatu Government ceased on 13th July 2020 for the generation and distribution of electricity on Tanna and Malekula. The Government has taken a bold decision to realise the termination date and is currently on a temporary operation and management arrangement of the plants. Meanwhile, the Government is working tirelessly to procure the entire generation and distribution of electricity once all administrative logistics are in order.

The Industry sector has been the fastest growing sector for the last five years. This trend is expected to continue over the medium term, unless there are substantial policy changes.

Services Sector

After annual growth averaging almost 3.0 per cent over the 5 years up to 2019, growth in the Services sector is expected to plummet in 2020. Albeit remaining positive, the projected growth for the year was revised downwards to only 0.3 per cent from the previous estimate of 3.0 per cent made at the time of formulating the 2020 budget (Quarter 3 2019). This represents a substantial amount in lost business as border closures due to COVID-19 prohibit international travel and trade disruption, which is all further compounded by the devastation of many businesses caused by TC Harold.

The largest downward revision in this sector was in the Accommodation and Food Services sub-sector. At the time of formulating the 2020 budget, this was forecast to be 3.6 per cent but in the latest forecast this was further reduced by 16.3 percentage points to 12.7 per cent. This revision was necessary to reflect both the temporary cessation in international visitors as well as the damage to tourism hot-spots across Vanuatu from TC Harold. In anticipation of a vaccine having been developed or borders being reopened by September³ this year, an aggressive rebound is expected in 2021 after which growth in the sub-sector is expected to normalise. The major upside risk is a 'Trans-Tasman Bubble' being in place before the end of the year, while the major downside risk is continuing COVID-19 infections keeping regional borders closed well into 2021.

Following closely behind the Accommodation and Food Services sub-sector is Transport. From the previously projected positive growth of over 3.0 per cent at budget, the forecast was revised downwards –to a massive contraction of 12.0 per cent. This is consistent with the Government's policy on border closures as countermeasures in response to COVID-19 protections for infections and a consequential lack of international flights and cruise ships, as well as the temporary restrictions on inter-and intra-island transportation as part of the States of Emergency. Through its surveys, the economic team found that many public transport operators had lost revenue due to these restrictions. In addition, TC Harold's damage to domestic shipping vessels will contribute to this contraction.

Growth is also expected to rebound slightly in the Professional, Scientific, Technical and Administrative Services subsector (for which the growth projection was reduced by 8.0 percentage points to 1.0 per cent); and in the Real Estate subsector a contraction is forecasted (reduction of 5.0 percentage points to -1.9 per cent).

³ See COM Decision 103 of 2020

The two largest subsectors within the Service sector, Public Administration and Retail Trade, will save this sector from contracting; they are both expected to have strong positive growth despite both disasters, at 5.5 per cent and 3.7 per cent, respectively. The two subsectors of Information and Communication, and Education, Health, Recreation, and Other Services are also expected to maintain strong positive growth in 2020 and into the medium term.

The forecast of growth for the Wholesale and Retail Trade and repair of Motor Vehicles subsector was reduced by 2.0 percentage points to 0.5 per cent. Meanwhile, the forecasts of growth in the Other Wholesale Trade subsector and Finance and Insurance subsectors were each reduced by 0.7 percentage points, to 1.3 per cent and 1.5 per cent respectively.

A recovery is projected for the services sector over the medium term, driven largely by retail trade which for the next five years is forecast to contribute an average of 21 per cent to the sector. Other subsectors are expected to bolster this positive trajectory as well.

The current environment of low business and consumer confidence coupled with high uncertainty stemming from external shocks will affect the Government's total tax earnings in 2020. Continuous uncertainty in the domestic banking system, coupled with a high level of non-performing loans (NPL) and large size of impaired assets, have led to a rising cost of investment (interest rates, fees and charges) which have all contributed to the slowing growth in private sector credit. Most commercial banks have also relaxed their conditions, especially for credit and loan repayments. Meanwhile, there is currently a lack of large bankable projects and profitable investments, as well as the continuous black listing of Vanuatu by the EU in relation to Anti-Money Laundering and Counter Terrorism Financing (AML/CTF). Growth in imputed bank service charges was revised downwards from 3.0 per cent to -11.2 per cent to reflect the Government's efforts to suspend or reduce a number of taxes, fees and charges; it is expected that this will help to sustain business activities.

The Government's historic stimulus policy will help to stabilise the economy during this time of dual crises. In effect, this should drive public administration growth from only 2.6 per cent in 2019 to over 5.5 per cent in 2020. The efforts in this regard are targeted at providing some avenues for the business communities to maintain their workforce and to enable individuals to continue to participate in the domestic economy. The main parts of the package are the Employment Stabilisation Payment, the Small and Medium Enterprises Grant, the School Fee Grant and the Commodities subsidy. Tax relief for consumers and businesses will reduce Government revenue so the funds for these programs will therefore be sourced from different packages such as direct cash contribution through bond auctions, reserve drawdowns, expenditure re-prioritisation, development partners' support, and banking and monetary responses. These stimulus initiatives are essential to promote consumer confidence and provide income initiatives for those that will be hugely affected.

AGGREGATE DEMAND

Total Demand

Total demand is projected to be driven mostly by development in consumption and the accumulation of stocks, with projected growth of 11.0 per cent and 2.1 per cent respectively in 2020. Growth in domestic demand over the medium term is likely to be from consumption averaging 7.1 per cent, supported by investments averaging at 2.4 per cent, with a sustainable development in stock accumulation over time.

Consumption

The shock caused by the COVID-19 pandemic assisted by that of TC Harold has pushed Vanuatu authorities to rethink their approaches to managing the economy. With international borders closed, the Vanuatu Government has redirected its attention to boosting domestic demand. With the implementation of the policy stimulus, public consumption is projected to expand by 29.4 per cent – a historic increase supported by the returning RSE and SWP workers. The accommodative economic policy stance comprised of both fiscal and monetary policy measures has seen spillover effects to private sector consumption gaining momentum with 5.8 per cent growth projected this year – the highest growth in private consumption ever recorded pushing the country's consumption to a record high at 11.0 per cent in 2020.

The huge acceleration in public consumption is likely to be temporary, reflecting the Government's decision to halt the stimulus payment by August, prior to normalising over the medium term. Any policy decision to maintain such boosts to consumption post 2020, will imply net debt accumulation. On the other hand, the current expansionary economic policy is likely to generate inflationary pressure, with the consumption deflator responding with a projected growth rate averaging 3.9 per cent over the medium term – a signal to keep monetary policy in check.

Further, private sector consumption is forecasted to mitigate the overall slowdown in consumption over the medium term with an average growth rate of 10.1 per cent. This is economically plausible as economic agents are expected to drive consumption decisions along a feasible set given their budget constraints, smoothing out consumption over time. The policy stimulus is likely to be temporary, assisted by the private sector increasing its spending by running down savings with a sizeable 66.9 per cent contraction following a strong accumulation the previous year. The above policy stimulus is expected to drain down public savings by over 43.0 per cent this year; made possible thanks to the strong fiscal discipline over the past few years.

Gross Fixed Investment

Public investment is linked to the Government's capacity to finance infrastructure projects under the national budget policy priority, guided by the principle of fiscal management. With major infrastructure projects completed in 2019, public investment is projected to reduce by 13.4 per cent in 2020. Growth in private investment will remain very sticky in 2020 rising to 7.9 per cent on the back of an uncertainty policy surrounding income tax and a diminishing confidence on the labour market policy surrounding work permits.

As speculation mounts surrounding the Government's policy on work permits, investors are reluctant to make new investments, leaving growth in the sector at over 7.0 per cent over the medium term. The growth in investments is likely to be generated from reinvested earnings with an estimated 7.4 per cent growth this year as foreign direct investment weakens to a 0.9 per cent record low. There are indications that domestic investments are heavily financed by the accumulation of external loans in 2020 through foreign parent company with a record 59.5 per cent growth in 2020 partly explained by the effects of COVID-19; this growth is expected to normalise to 0.9 per cent over the medium term.

There is a strong tendency to believe that gross fixed investments are externally driven and subject to confidence and certainty around Government policy. Meanwhile, portfolio outflows have been a contributing factor of weaker investments locally. Despite an estimated contraction of 0.1 per cent in portfolio outflows in 2020, this growth will be short lived and partly explained by the COVID-19 pandemic; with growth expected to recover in 2021 at 0.9 per cent.

Net Exports

Net exports will suffer its heavy contraction in history at 34.7 per cent following international lockdowns and the closing of Vanuatu international borders. This is further explained by a 50.4 per cent contraction in travels equating to VT151.1 millions of loss earnings to the tourism sector. Of these, visitor arrivals alone is expected to be hard-hit with an estimated 51.3 per cent contraction this year supported with a 6.5 per cent contraction to goods export (equating to VT48.8 million loss in foreign earnings from commodity and goods export. Meanwhile, Vanuatu's strong consumption position is supported with an increasing growth in goods and services imports growing at 3.7 per cent; predominantly from an 18.3 per cent growth in goods import as service imports is affected with the border closures experiencing a 13.9 per cent decline in growth. The increasing pressure on goods and services imports is likely to reflect on Vanuatu's level of reserves falling below 8 months of good import cover as the national currency losses value to the United States dollar.

As the global economy reopens its international borders when the global COVID-19 pandemic vanishes, capital flows will be at the forefront as economies search for the highest yields on their investments. The dollar is expected to recover with flow on effects on external demands especially Australia (4.8 per cent) leading to a surge in total visitor arrivals from 2021 with a projected growth of 104 per cent. This is expected as Vanuatu's trading partners' economies would have recover (possible lag effects) supported with the new arrival of Air Vanuatu's Air Bus A220-300 in late 2020.

With most agriculture goods damaged and destroyed by TC Harold, there are possibility for loss of earnings in export in 2021, equivalent to VT42.4 million. On the hand, the heavily funded productive sector by the 11th EDF and the government is likely to generate some knock-on effects from 2022 with good exports expecting a recovery at 7.1 per cent. With the government sustainability initiatives, this is likely to remain on the upside with an average growth rate of 11.9 per cent over the medium term. With a strong pick up in private sector consumption and investments, goods imports is likely to resurface strongly from 2021 at 44.3 per cent before receding to 2.1 per cent over the medium term. As majority of the imports will be for reconstruction, the huge growth in imports represents leakage in the economy posting 3.2 per cent in 2021 impacting on Vanuatu's gross official reserves. As demand recovers, food imports is likely to grow by 0.4 per cent in 2021 and petroleum imports expanding by just over 7.0 per cent to support private sector investments.

Vanuatu being an import dependent country, with domestic consumption unmatched by domestic production, most basic goods and services must be imported. With the three concurrent disasters experienced by Vanuatu, the domestic import position is expected to worsen reaching 33.5 per cent of GDP from 13 per cent of GDP in 2019. This represent a fast expansion and widening of the trade deficit putting downward pressure on the current account balance to experience its biggest decline in history, withdrawing growth prospects in the economy. There is expectation of a turnaround in the economic performance of the country as a whole, with Vanuatu's net trading position improving over the medium term supported by the prospects of more services exports and the need for increasing focus on the productive sector to generate increasing productivity, improving value-addition for exports.

MONETARY UPDATE

Money Supply

Banking sector activities decelerated from January to May 2020 and likely to slow further until June 2020, owing mainly to the slowdown in money supply (M2). The deceleration in money growth during the first half of 2020 reflected the offsetting effects of a subdued domestic credit and a strong growth in net foreign assets. Overall, the banking sector remained sound and supportive of growth, as evidenced by high level of liquidity and a sound capital position. The Liquid Asset Ratio (LAR) was maintained at 5.0 per cent as in the previous year. In March 2020, the Capital Adequacy Ratio (CAR) was reduced from 12.0 per cent to 10 per cent, as one of the supportive policy measures to address the impact of COVID-19 on the banking industry.

M2 recorded VT 95,789.4 million in May 2020, representing a decline of 0.3 per cent over the year to May 2020, in comparison to a higher growth of 9.9 per cent over the year to May 2019. Up until the first half of 2020, money growth was driven by net foreign assets (NFA). The increase in NFA mainly reflected inflows of funds via the TC Harold recovery and COVID 19 measures and other government revenue from abroad. In contrast, domestic credit remain subdued due largely to the improvement in the Government's net credit position with the banking system, together with the decline in private sector credit. The decline in private sector credit was due mainly to reduction in loans to household and personal consumption. However, loans to businesses have started to pick up recently. Overall, commercial banks' asset quality remained healthy with standard loans dominating the total loan portfolios.

In terms of components, growth in M2 during the first half of 2020 was driven mainly by narrow money (M1) in particular currency in circulation. Currency in circulation rose significantly by double digits in April, May and June by 16.4 per cent, 13.4 and 12.2 per cent, respectively compared to over the year to end April, May and June 2019. These large increases reflected the high demand for currency due to the combine effects of the VNPF payout of COVID-19 hardship loans to VNPF members and the Government financial and economic stimulus package to address the impact of COVID 19 and TC Harold on the overall economy.

Interest rate

Interest rates in Vanuatu are always characterised by very high lending rates and low deposit interest rates. From May 2019 to May 2020 the weighted average interest rate on both lending and deposits contracted. However, the decline in weighted average lending rate more than offsets that of deposit rates, thus contributing to the narrowing of the interest rate spread from 9.36 per cent in May 2019 to 9.32 per cent in the year to May 2020. The downward trend in interest rates reflected the accumulation of excess liquidity in the banking system. Overall, the narrowing in interest rate spread is expected to remain until the end of June 2020.

The RBV continued to maintain an accommodative monetary policy stance throughout 2019 and up to March 2020 (the latest monetary policy statement, which is published quarterly). The Bank's Policy rate was reduced from 2.9 per cent to 2.25 per cent at the end of March 2020, as a supportive policy measure to address the impacts of COVID-19 pandemic on the domestic economy. Additional supportive policy measures were also approved, including the reduction of banks' Capital Adequacy Ratio (CAR) from 12.0 per cent to 10.0 per cent, reactivating the Bank's Imports Substitution and Export Finance Facility (ISEFF) and the Disaster Reconstruction Credit Facility (DRCF) for the banks

to utilise during this challenging period. The Statutory Reserve Deposits ratio and the Liquid Asset Ratio continued to be maintained at 5.25 per cent and 5.0 per cent, respectively.

Inflation

Annual headline inflation rate was projected to remain within the Reserve Bank of Vanuatu's 0-4 percent target in the first half of the year. The year-on-year Consumer Price Index (CPI) inflation rate dropped to 3.0 per cent in the March quarter of 2020 from 3.4 per cent in the previous quarter. From April to June 2020, projected food inflation driven by rise in root-crops, fruits and vegetable prices and increased demand pressures from the reconstruction activities after TC Harold contributed to inflation. Price of other CPI categories, mainly household supplies, communication, drinks and tobacco, education, and clothing and footwear remained relatively stable. On the other hand, subdued international fuel prices transmitted into domestic transport, utility and food prices have put downward pressures on inflation. As a result, the underlying inflation rate remained subdued for the first half of the year following a recorded 0.6 per cent in the March quarter of 2020.

Changes to the Government's policies on fees and charges particularly through waived fees and dampened market conditions may put downward pressures on price movements in the medium term. Vanuatu's fixed exchange rate regime will continue to anchor inflation expectation in the medium-term, and the year-on-year headline inflation is forecast to remain stable from 2021. The year-end inflation forecast is expected to remain within the mid-range of RBV's 0-4 per cent target bound in 2020 and 2021.

EXTERNAL SECTOR UPDATE

Vanuatu has managed to retain its positive external position over the first five months of the year despite a weak domestic economy and a deteriorating global environment. The slowdown in economies overseas and lower global commodity prices (particularly fuel prices) have softened the pressures on overall import payments and have strained export earnings significantly. This has caused a provisional overall trade balance deterioration mainly due to a slump in overall export earnings from abroad. On the other hand, the secondary income and capital accounts continue to record surplus balances due to the high amount of financial assistance from donor partner countries to help the TC Harold recovery and mitigate the effects of COVID-19 on the economy as well as standard development projects and other Government revenue from abroad, most of which is the revenue collected from Vanuatu's honorary citizenship programs. In light of these developments, official reserves remained well above the minimum threshold of 4 months of import cover over the first half of the year, and are expected to remain sustainable over the short to medium term given the continuous expected influx of financial assistance from abroad along with softer import payments related to COVID-19 border restrictions.

Exchange Rate

Movements of the Vatu vis-à-vis its major currencies reflect developments in the economic and financial conditions of Vanuatu's major trading partners. Over the year to June 2020, the Vatu appreciated against the AUD and NZD by 0.51 per cent and 2.7 per cent respectively while it depreciated against the USD and Euro by 1.61 per cent and 0.29 per cent respectively.

The RBV continues to pursue a stable nominal effective exchange rate in support of the current level of healthy foreign reserves in the banking system.

FISCAL UPDATE⁴

Revenue

Owing to the COVID-19 crisis, the exemptions made as part of the Government's economic stimulus and newly agreed budget support from development partners, budgeted revenue was revised in June.⁵

Government revenue recorded VT 18,486.7 million at the end of June this year, representing 55.1 per cent of the revised budget target of VT 33,568.5 million and 22.6 per cent more than the VT 15,078.2 million collected during the same period a year ago.

Total Government revenue (tax plus non-tax) has remained above forecast every month, as the shortfall in tax revenue is offset by the strong revenue from the honorary citizenship programs. Tax revenue was higher than forecast in the first three months of the year, but has been below forecast every month since then. Revenue collected from the honorary citizenship programs was over double the forecast in each of the first three months of 2020; collections have remained above forecast in the months since then, but to a lesser extent. The Government remains careful not to rely on the income stream from the honorary citizenship programs and is working on implementing the Tax Administration Act to make collection of tax revenue more efficient.

Focusing on revenue from taxation, VAT continues to be the major source of tax revenue in 2020, collecting VT 3,859.5 million by the end of June. This represents 41.7 per cent of the revised budget target of VT 9,262.6 million and is 0.3 per cent less than the VT 3,869.5 million collected during the equivalent period last year. This means that DCIR has collected almost exactly the same VAT revenue as last year despite the harm caused by COVID-19 to the economy, and the consequential lower consumption (as tourists normally contribute to VAT revenue), which is impressive.

Taxes on international trade and transactions, constituting import and export duties, are the second main source of taxation revenue, collecting VT 1,488.2 million during the first six months of this year. This is equivalent to 43.6 per cent of the revised budget target of VT 3,409.8 million and is 12.2 per cent more than the VT 1,326.8 million that was collected during the first six months last year. The increase since last year is mostly due to refunds on Asycuda import duties given in January 2019, which brought the overall collections down. Excise tax collections totalled VT 1,289.0 million to date this year, which represents 51.4 per cent of the revised budget target (VT 2,505.5 million) and is 6.0 per cent more than the VT 1,216.0 million collected by June last year. The increase since last year is mostly due to higher excise collections on tobacco products, on wines and spirits from abroad and on other imports.

Among other revenue, constituting fees and charges, the Citizenship Office has had success with its Vanuatu Development Support Program (VDSP) and Vanuatu Contribution Program (VCP). Revenue from VCP and VDSP totalled VT 7,094.2 million by the end of June 2020. This is 77.8 per cent of the revised budget target of VT 9,120.3 million and is 32.2 per cent more than the VT 5,367.5 million revenue from VDSP and VCP collected during the same period last year.

⁴ The figures described and explained in this section can be seen in Tables 4 to 9 at the end of this report, which show the Statements of Government Operations using GFS01 classification.

⁵ The budgeted revenue target may be revised again before the end of 2020, depending on future developments with COVID-19 and TC Harold.

The Government continues to gratefully acknowledge its donor partners for their assistance. In this time of dual crises for Vanuatu, development partners have disbursed VT 2,133.0 million in budget support as a direct transfer to the Vanuatu Government's treasury account. This includes a transfer of VT 1,180.3 million from the World Bank as part of the Catastrophe Deferred Drawdown Option (Cat-DDO)⁶, a transfer of VT 671.8 million from the Australian Government, VT 248.6 million from the New Zealand Government, VT 29.7 million from the Chinese Government and VT 2.6 million from community contributions. Further budget support is expected from the 11th European Development Fund (EDF), Australia, New Zealand and We Care for Humanity in the coming months; this is shown in the revised revenue budget. If development partners agree additional budget support in future months, then the budget and actuals figures will be updated.

Moving to development financing, as of the end of June, the Government has received VT 3,967.9 million worth of project grants from its development partners. The major sources of grant assistance include Australia (VT 1,480.1 million), ADB (VT 1,125.7 million), the World Bank (VT 771.8 million) and New Zealand (VT 138.5 million). Other contributing donors are gratefully acknowledged.

Expenditure

Government expenses in the first six months of 2020 totalled VT 14,688.4 million, which is equivalent to 42.6 per cent of the revised budget of VT 34,474.8 million⁷ and is 22.2 per cent more than the VT 12,018.9 million recorded during the same period in 2019. The increase compared to 2019 is due to the standing appropriation for the COVID-19 and TC Harold States of Emergency, the policy stimulus and some unspent funds from previous years that were rolled over into 2020.

This year the Government continues to implement some expenditure control measures which have kept government expenditure in line with the budget target. However, there are some major expenditure items that were already over their annual budget as of the end of June. These expenditure items include:

- *Special allowances (VT 77.6 million against an annual budget of VT 8.5 million)*
- *Councillors' constituency allowances (VT 125.0 million against an annual budget of VT 85.9 million)*
- *MP gratuity allowances (VT 375.3 million against an annual budget of VT 181.7 million)*
- *Good will allowance (VT 86.2 million against an annual budget of VT 27.5 million)*
- *NCB road repairs and maintenance (VT 50.1 million against an annual budget of VT 4.7 million)*
- *Other suppliers (VT 57.7 million against an annual budget of VT 29.0 million)*
- *Lighting utilities (VT 124.5 million against an annual budget of VT 104.2 million)*
- *Grant donations abroad (VT 10.3 million against an annual budget of VT 0.7 million)*
- *Other grants (VT 282.0 million against an annual budget of VT 247.0 million)*
- *Land compensation (VT 191.3 million against an annual budget of VT 180.0 million)*

Net acquisitions of non-financial assets totalled VT 453.8 million up to June 2020, only 14.3 per cent of the revised annual budget of VT 3,163.8 million. The net amount spent in the first six months is 13.6 per cent more than the VT 399.4 million spent on net acquisitions of non-financial assets in the same

⁶ Cat-DDO: A contingent financing line that provides immediate liquidity following a natural disaster, and/or health-related event. Funds become available for disbursement after the Government declares a state of emergency. The Government agreed a Cat-DDO with the World Bank last year.

⁷ The revised budget includes the statement of unspent funds, COVID-19 (Economic Stimulus), TC Harold and supplementary appropriation passed in June 2020.

period of 2019. The major acquisitions of financial assets in May were roads and in June were buildings, following TC Harold.

As of the end of June, expenditure financed by project grants from donors totalled VT 1,314.8 million. This represents 17.7 per cent of the revised budget target of VT 7,440.1 million⁸ and is 41.4 per cent less than the VT 2,245.3 million recorded during the first six months last year⁹. Some projects have finished and others been delayed due to COVID-19.

Financing

At the end of June, the net operating balance of the Government operations (excluding donor funding) was VT 3,798.3 million. This is 24.2 per cent more than the VT 3,059.3 million recorded at the end of June 2019.

Excluding donor funding, the Government recorded a fiscal surplus of VT 3,344.6 million at the end of June. This is 25.7 per cent more than the fiscal surplus of VT 2,659.9 million recorded at the end of June last year.

While the Government ran an operating deficit (i.e. expenses were more than revenue) and a fiscal deficit (i.e. expenses and net acquisition of nonfinancial assets were more than revenue) in April, the healthy revenue in other months meant that healthy funds remained in the Government's bank accounts to pay for this. In June the Government ran an operating surplus but a fiscal deficit, i.e. the revenue left over after expenses was not enough to pay for the net acquisition of nonfinancial assets) mainly due to acquisitions of roads and buildings following TC Harold.

The Government transferred an advance to Air Vanuatu totalling VT 690.2 million in June; further advances are expected in the second half of 2020. This is shown under 'Net acquisition of financial assets – domestic' in the GFS tables for 2020, at the end of this report.

The Government drew down some of its reserves this year to fund expenditure programs and activities. This is a good use of the Government's leftover resources from previous years of strong revenue collections and expenditure management.

As of the end of June, the Government has amortized VT 1,998.6 million worth of external loans and no domestic loans. This includes an advanced repayment (prepayment) of VT 1,500.0 million for external debt repayments to China, on top of normal budgeted debt service payments.

Revenue and Tax Policy

The Government must continue to raise sufficient revenue to fund public expenditure, respond to public demands and be there to assist when unforeseen circumstances arise. How the government succeeds with this depends entirely on its robust tax policy and administration. Thus, building an effective tax system is a core responsibility of the Government; and when designed and administered properly it will effectively raise the revenue necessary to provide essential public services and public goods.

⁸ The revised revenue target and revised expenditure budget for development financing do not match exactly, due to some unspent funds that were rolled over into the 2020 financial year, making the budgeted expenditure greater than the revenue.

⁹ January 2019 development financing figures included some accrued commitments from previous years including direct payments (loan and grants) from ADB to consultants working on projects. This makes the 2019 development spending on goods and services seem even higher in comparison to 2020 figures.

In the area of Revenue and Tax Policy, the Government has directed efforts to improving the Department of Customs and Inland Revenue (DCIR) as Tax Administrator. The Government is also working to ensure that Vanuatu meets the international standards in good tax practice. This includes standards set by the OECD's Global Forum on Transparency and Exchange of Information for Tax purposes (Global Forum) and the European Union's Code of Conduct Group (EU CoCG). Vanuatu will face serious reputational damage and therefore serious economic damage if it does not meet these standards.

Vanuatu's Commitments with OECD Global Forum and EU Code of Conduct Group

Vanuatu continues to put effort into complying with international standards on good tax practices. This includes those set by the OECD's Global Forum and the EU CoCG. Vanuatu will face serious reputational damage if it does not meet these standards and requirements.

Up to the year 2017, Vanuatu had made good progress to get a Largely Compliant rating with the OECD Global Forum by having the necessary legislations in place. However, it had failed to effectively implement the legislations and was down rated to a Partially Compliant rating in 2019.

In 2019, the EU CoCG concluded that Vanuatu had not taken sufficient steps to fulfil its commitments. Vanuatu is currently on the EU blacklist for harmful tax practices and is working hard to be removed from this list. To tackle this issue, the Government is working on reforms that include the review of the Business License Act. The legislations must be ratified by Parliament this year and be effectively implemented to remove Vanuatu from the black list.

Outstanding Revenue (unpaid debt)

Failure to collect money owed to the Government continues to erode the revenue base. Over several years debts have accumulated to an unacceptable level, resulting in the need to undertake significant write off of debts owing. Much of the outstanding debt is uncollectible because:

- *The current outstanding debts have exceeded their status of limitation validity*
- *Accumulation of penalties and lack of stringent compliance effort from both the Departments as well as tax payers have contributed to ongoing accumulation of outstanding revenue*
- *Companies have closed down or liquidated and company owners may have already left the country or died but the taxes are still recorded as outstanding*
- *The National Write off Committee, with the support of higher authorities, is working to reduce the amount of uncollectible debt by writing off uncollectible amounts. In the past, a National Revenue Review Task force had significantly helped MFEM to address the backlog of outstanding revenue.*
- *Writing off uncollectible debt is intended to focus Departments on collecting revenue as and when it falls due. Debt that is written off is wasted revenue. The Government will focus on collecting taxes, fees and charges in a timely way in order to avoid further accumulation of uncollectible debt.*

The Government will continue to boost its revenue collection by strengthening the administration, compliance and enforcement of its existing tax base through the implementation of modernised laws as well as newly introduced fees and charges in order to boost its revenue collection efforts. The Government will closely monitor the effectiveness of revenue collections to ensure the system becomes more effective and efficient.

Public Debt

Vanuatu has come a long way since the Category 5 Tropical Cyclone Pam in 2015. However, this year the global spread of COVID-19 and, more severely for Vanuatu, another Category 5 Tropical Cyclone, TC Harold, has caused significant hardship. The two crises coming at once have led to extra expenditure, which has to be financed. This situation has also contributed to the delay of certain ambitious infrastructure programs.

Vanuatu has been successfully adhering to its debt management strategies, thus far. The stock of debt is 39.0 per cent of nominal GDP¹⁰, which is higher than it was at the end of 2015; however, the Government has made certain that this increasing debt level is being prudently managed. According to the Debt Sustainability Analysis completed by MFEM in 2019, Vanuatu's debt-carrying capacity continues to be moderate. The granularity in the risk rating confirmed a limited space to absorb shocks. There are currently no breaches in the baseline scenario. The stress tests in this analysis show that if a natural disaster were to happen, a breach in the baseline scenario in the net present value of the external debt to GDP ratio within the near term would be expected. With the current implications from COVID-19 and TC Harold, this is a possibility.

With the current stock of total public debt, new infrastructure projects will need to be prioritised. All loans will need to be limited and prioritised, particularly those with less concessional terms. This is because there is a crucial need for sustainable and reliable fiscal buffers to weather any unprecedented shocks or natural disasters in the coming years. Any new loans must continue to have highly concessional financing terms, if fully-financed grants are not available. Greater scrutiny, feasibility assessment and proper processes are necessary to ensure that any new loans provide sufficient economic and social returns for both the country and to keep repayments at sustainable levels.

Debt Management Milestones

With the Government's ongoing debt reduction plan subject to fiscal conditions status, advance repayments are still ongoing. In early 2020, the Government made advance repayments of over VT 1.9 billion on external loans owed to Export-Import Bank of China (EXIM Bank of China). The Government is also planning to fully amortise and retire all maturing domestic bonds this year 2020; commencing with the VT 627.3 million of domestic bonds that will mature in July this year, which will reduce the total domestic debt level by 11.0 per cent. Despite the current crises of COVID-19 and TC Harold, the Government has still been faithfully facilitating its designated and obligatory scheduled repayments of both external and domestic loans. This has shown sound management of debt levels during this time of crisis – the Government has not deferred or defaulted on any payments so far in 2020. If the situation in Vanuatu worsens later in 2020, there are back-up plans to facilitate future debt repayments.

The necessary public debt related amendments have been included in the Public Finance & Economic Management Act [CAP 244], which was officially approved at the end of 2019. Significant debt policies and guidelines (particularly from the DMS) have been inserted into the new, draft Financial Regulations

¹⁰ This figure refers to the nominal value of the total debt to GDP ratio, which is a simple calculation of the stock of debt divided by nominal GDP in each year. The Government's threshold for the nominal value of the total debt to GDP ratio is 60 per cent. The Net Present Value (NPV) of the debt-to-GDP ratio takes into account the concessionality of these loans (i.e. they have very low interest rates, below market rates, and are due far in the future), using a discount rate of 5 per cent. While the nominal values give a simple snapshot in time, the NPV of the debt to GDP ratio measures the sustainability of Vanuatu's debt over the long term.

and the principal legislation itself to ‘give teeth’ to the debt policies. This is important as stringent and transparent adherence to the contemporary debt management strategy must always be upheld.

Looking to the next six months, Vanuatu must continue to preserve fiscal space and safeguard debt sustainability in the face of growing development needs and vulnerability to natural disasters. The DMU will continue to ensure that decision makers are aware of the new DMS and will adhere to it. This includes, for instance, borrowing only for infrastructure projects that are highly concessional with the minimum 35.0 per cent grant element and for projects that can generate economic returns to benefit the country as a whole, as well as assisting the government with its loan repayments. In the longer term, the Government must continuously maintain cautiousness with future major infrastructure projects to prevent rapid debt accumulation. It should also maintain fiscal buffers and foster economic growth to ensure debt service payments can be made in full and on time. Further diversification of sustainable revenue sources is also necessary to support future prudent debt management.

Table 4: Statement of government operations excluding donors using GFS01 classification, January to June 2020

STATEMENT OF GOVERNMENT OPERATIONS EXCLUDING DONORS										
GFS Code	GFS Description	Budget 2020	Total (VT mn)	%	January	February	March	April	May	June
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	33,568.5	18,486.7	55.1%	3,747.8	2,915.4	2,636.3	2,586.3	3,666.8	2,934.2
A11	Taxes	17,711.5	8,403.7	47.4%	2,240.0	1,530.0	1,274.0	1,135.3	1,081.1	1,143.2
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	425.1	343.7	80.9%	98.9	115.5	26.4	31.2	39.0	32.7
A114	Taxes on goods & services	13,876.6	6,571.7	47.4%	1,844.5	1,172.6	985.4	898.4	815.5	855.2
	of which									
	Value Added Tax	9,657.8	4,202.3	43.5%	962.8	675.3	696.4	626.2	584.7	656.8
	Value Added Tax Government Payments	(395.1)	(342.9)		(39.3)	(37.2)	(48.2)	(60.2)	(84.0)	(74.0)
	Excise	2,505.5	1,289.0	51.4%	273.4	195.4	217.5	211.3	192.9	198.5
A115	Taxes on international trade & transactions	3,409.8	1,488.2	43.6%	296.6	241.8	262.2	205.7	226.6	255.2
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	4,019.6	2,133.0	53.1%	-	-	-	208.0	1,247.0	678.0
A14	Other revenue	11,837.4	7,950.0	67.2%	1,507.9	1,385.4	1,362.2	1,242.9	1,338.7	1,113.0
A2	Expense	34,474.8	14,688.4	42.6%	2,713.9	1,905.3	2,459.5	2,631.7	2,076.7	2,901.2
A21	Compensation of employees	15,633.2	7,317.6	46.8%	1,383.8	1,052.0	1,071.3	1,596.3	1,065.8	1,148.4
A22	Use of goods and services	8,710.5	3,229.9	37.1%	507.0	451.3	317.7	582.3	678.2	693.4
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	837.0	376.1	44.9%	23.2	0.0	182.2	86.6	8.4	75.6
A25	Subsidies	3,659.0	907.2	24.8%	14.4	30.5	28.4	64.2	123.9	645.8
A26	Grants	2,996.8	1,737.9	58.0%	731.3	166.7	467.4	131.2	135.5	105.8
A27	Social benefits	495.1	398.7	80.5%	14.1	145.4	183.3	26.7	16.4	12.9
A28	Other expense	2,143.2	720.9	33.6%	40.1	59.5	209.2	144.3	48.5	219.4
GOB	Gross operating balance (1-2+23+NOBz)	(906.3)	3,798.3		1,034.0	1,010.1	176.8	(45.4)	1,590.1	32.9
NOB	Net operating balance (1-2+NOBz)	(906.3)	3,798.3		1,034.0	1,010.1	176.8	(45.4)	1,590.1	32.9
	% of GDP	-0.8%	3.5%		1.0%	0.9%	0.2%	0.0%	1.5%	0.0%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	3,163.8	453.8	14.3%	66.6	38.8	49.2	71.5	108.2	119.5
A311	Fixed assets	3,163.8	453.8	14.3%	66.6	38.8	49.2	71.5	108.2	119.5
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(4,070.0)	3,344.6		967.4	971.3	127.6	(116.9)	1,481.9	(86.6)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES										
A32	Net acquisition of financial assets	(8,675.7)	1,346.0		967.4	971.3	(1,791.9)	(131.4)	1,450.5	(119.9)
A321	Domestic	(8,675.7)	1,346.0		967.4	971.3	(1,791.9)	(131.4)	1,450.5	(119.9)
3211	Monetary gold and SDRs	-	-		-	-	-	-	-	-
3212	Currency and deposits	(9,365.9)	655.8		967.4	971.3	(1,791.9)	(131.4)	1,450.5	(810.1)
3213	Debt securities	-	-		-	-	-	-	-	-
3214	Loans	690.2	690.2		-	-	-	-	-	690.2
A322	Foreign	-	-		-	-	-	-	-	-
A33	Net incurrence of liabilities	(4,605.7)	(1,998.6)	43.4%	-	-	(1,919.4)	(14.5)	(31.4)	(33.3)
A331	Domestic	(1,427.4)	-	0.0%	-	-	-	-	-	-
A332	Foreign	(3,178.3)	(1,998.6)	62.9%	-	-	(1,919.4)	(14.5)	(31.4)	(33.3)

Source: Department of Finance and Treasury

Table 5: Statement of government operations funded by donors through the central treasury account, using GFS01 classification, Jan-June 2020

STATEMENT OF GOVERNMENT OPERATIONS WHICH ARE FUNDED BY DONORS THROUGH THE CENTRAL TREASURY ACCOUNT										
GFS Code	GFS Description	Budget 2020	Total (VT mn)	%	January	February	March	April	May	June
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	7,417.7	3,967.9	53%	342.1	297.6	1,140.4	588.2	444.0	1,155.7
A11	Taxes	-	-	0%	-	-	-	-	-	-
A111	Taxes on income, profits, and capital gains	-	-	0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0%	-	-	-	-	-	-
A113	Taxes on property	-	-	0%	-	-	-	-	-	-
A114	Taxes on goods & services	-	-	0%	-	-	-	-	-	-
	of which									
	Value-Added Tax	-	-	0%	-	-	-	-	-	-
	Value Added Tax Government Payments	-	-		-	-	-	-	-	-
	Excise	-	-	0%	-	-	-	-	-	-
A115	Taxes on international trade & transactions	-	-	0%	-	-	-	-	-	-
A116	Other taxes	-	-	0%	-	-	-	-	-	-
A12	Social contributions	-	-	0%	-	-	-	-	-	-
A13	Grants	7,417.7	3,967.9	53%	342.1	297.6	1,140.4	588.2	444.0	1,155.7
A14	Other revenue	-	-	0%	-	-	-	-	-	-
A2	Expense	7,440.1	1,314.8	17.7%	193.6	196.3	384.0	150.3	184.0	206.5
A21	Compensation of employees	536.5	88.5	16%	13.1	16.9	14.4	20.2	11.2	12.8
A22	Use of goods and services	4,561.1	1,175.4	26%	181.2	172.7	343.7	113.1	172.2	192.5
A23	Consumption of fixed capital	-	-	0%	-	-	-	-	-	-
A24	Interest	15.6	-	0%	-	-	-	-	-	-
A25	Subsidies	-	3.3	0%	0.7	-	0.7	-	0.6	1.2
A26	Grants	1,592.0	40.0	3%	(2.2)	-	25.2	17.1	-	-
A27	Social benefits	733.4	7.6	1%	0.9	6.7	-	-	-	-
A28	Other expense	1.3	-	0%	-	-	-	-	-	-
GOB	Gross operating balance (1-2+23+NOBz)	-	2,653.1		148.5	101.3	756.5	437.8	259.9	949.2
NOB	Net operating balance (1-2+NOBz) ^{a/}	-	2,653.1		148.5	101.3	756.5	437.8	259.9	949.2
	% of GDP		2.4%		0.1%	0.1%	0.7%	0.4%	0.2%	0.8%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	8,024.3	2,130.1	27%	148.5	99.1	1,117.7	268.9	168.3	327.4
A311	Fixed assets	8,024.3	2,130.1	27%	148.5	99.1	1,117.7	268.9	168.3	327.4
A312	Change in inventories	-	-	-	-	-	-	-	-	-
A313	Valuables	-	-	-	-	-	-	-	-	-
A314	Nonproduced assets	-	-	-	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(8,046.7)	523.1	-7%	(0.1)	2.1	(361.3)	168.9	91.6	621.7
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES										
A32	Net acquisition of financial assets	(3,084.5)	523.1		(0.1)	2.1	(361.3)	168.9	91.6	621.7
A321	Domestic	(3,084.5)	523.1		(0.1)	2.1	(361.3)	168.9	91.6	621.7
3211	Monetary gold and SDRs	-	-		-	-	-	-	-	-
3212	Currency and deposits	(3,084.5)	523.1		(0.1)	2.1	(361.3)	168.9	91.6	621.7
3213	Debt securities	-	-		-	-	-	-	-	-
3214	Loans	-	-		-	-	-	-	-	-
A322	Foreign	-	-		-	-	-	-	-	-
A33	Net incurrence of liabilities	4,962.2	-	0%	-	-	-	-	-	-
A331	Domestic	-	-	0%	-	-	-	-	-	-
A332	Foreign	4,962.2	-	0%	-	-	-	-	-	-

Source: Department of Finance and Treasury

Table 6: Statement of government operation including donor financing (consolidated) using GFS01 Classification, January to June 2020

STATEMENT OF TOTAL GOVERNMENT OPERATIONS										
GFS Code	GFS Description	Budget 2020	Total (VT mn)	%	January	February	March	April	May	June
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	40,986.3	22,454.6	55%	4,089.9	3,213.0	3,776.7	3,174.5	4,110.7	4,089.8
A11	Taxes	17,711.5	8,403.7	47%	2,240.0	1,530.0	1,274.0	1,135.3	1,081.1	1,143.2
A111	Taxes on income, profits, and capital gains	-	-	0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0%	-	-	-	-	-	-
A113	Taxes on property	425.1	343.7	81%	98.9	115.5	26.4	31.2	39.0	32.7
A114	Taxes on goods & services	13,876.6	6,571.7	47%	1,844.5	1,172.6	985.4	898.4	815.5	855.2
	of which									
	Value-Added Tax	9,657.8	4,202.3	44%	962.8	675.3	696.4	626.2	584.7	656.8
	Value Added Tax Government Payments	(395.1)	(342.9)		(39.3)	(37.2)	(48.2)	(60.2)	(84.0)	(74.0)
	Excise	2,505.5	1,289.0	51%	273.4	195.4	217.5	211.3	192.9	198.5
A115	Taxes on international trade & transactions	3,409.8	1,488.2	44%	296.6	241.8	262.2	205.7	226.6	255.2
A116	Other taxes	-	-	0%	-	-	-	-	-	-
A12	Social contributions	-	-	0%	-	-	-	-	-	-
A13	Grants	11,437.3	6,100.9	53%	342.1	297.6	1,140.4	796.2	1,691.0	1,833.6
A14	Other revenue	11,837.4	7,950.0	67%	1,507.9	1,385.4	1,362.2	1,242.9	1,338.7	1,113.0
A2	Expense	41,914.9	16,003.2	38%	2,907.5	2,101.6	2,843.5	2,782.0	2,260.8	3,107.7
A21	Compensation of employees	16,169.8	7,406.1	46%	1,396.9	1,068.8	1,085.7	1,616.5	1,077.0	1,161.2
A22	Use of goods and services	13,271.6	4,405.3	33%	688.2	624.0	661.4	695.4	850.4	885.9
A23	Consumption of fixed capital	-	-	0%	-	-	-	-	-	-
A24	Interest	852.6	376.1	44%	23.2	0.0	182.2	86.6	8.4	75.6
A25	Subsidies	3,659.0	910.5	25%	15.1	30.5	29.2	64.2	124.6	647.0
A26	Grants	4,588.8	1,777.9	39%	729.1	166.7	492.6	148.3	135.5	105.8
A27	Social benefits	1,228.6	406.3	33%	15.0	152.1	183.3	26.7	16.4	12.9
A28	Other expense	2,144.5	720.9	34%	40.1	59.5	209.2	144.3	48.5	219.4
GOB	Gross operating balance (1-2+23+NOBz)	(928.6)	6,451.5	-695%	1,182.4	1,111.3	933.2	392.4	1,850.0	982.1
NOB	Net operating balance (1-2+NOBz)	(928.6)	6,451.5	-695%	1,182.4	1,111.3	933.2	392.4	1,850.0	982.1
	% of GDP		5.8%		1.1%	1.0%	0.8%	0.4%	1.7%	0.9%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	11,188.1	2,583.8	0.2	215.2	137.9	1,166.9	340.4	276.5	446.9
A311	Fixed assets	11,188.1	2,583.8	23%	215.2	137.9	1,166.9	340.4	276.5	446.9
A312	Change in inventories	-	-	0%	-	-	-	-	-	-
A313	Valuables	-	-	0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(12,116.7)	3,867.6		967.3	973.4	(233.7)	52.0	1,573.5	535.2
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES										
A32	Net acquisition of financial assets	(11,760.2)	1,869.1	0%	967.3	973.4	(2,153.1)	37.5	1,542.1	501.9
A321	Domestic	(11,760.2)	1,869.1	0%	967.3	973.4	(2,153.1)	37.5	1,542.1	501.9
3211	Monetary gold and SDRs	-	-		-	-	-	-	-	-
3212	Currency and deposits	(12,450.4)	1,178.9		967.3	973.4	(2,153.1)	37.5	1,542.1	(188.3)
3213	Debt securities	-	-		-	-	-	-	-	-
3214	Loans	690.2	690.2		-	-	-	-	-	690.2
A322	Foreign	-	-	0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	356.5	(1,998.6)	-561%	-	-	(1,919.4)	(14.5)	(31.4)	(33.3)
A331	Domestic	(1,427.4)	-	0%	-	-	-	-	-	-
A332	Foreign	1,783.9	(1,998.6)	-112%	-	-	(1,919.4)	(14.5)	(31.4)	(33.3)

Source: Department of Finance and Treasury

Table 7: Statement of Government Operations excluding Donor Financing using GFS01 Classifications, 2017 – 2025

STATEMENT OF GOVERNMENT OPERATIONS Using GFS01 classification		Actual 2017	Actual 2018	Actual 2019	Actual Jan-June 2019	Original Budget 2020	Revised Budget 2020	Actual Jan - Jun 2020	Forecast 2021	Forecast 2022	Forecast 2023	Forecast 2024	Forecast 2025
GFS Code	GFS Description												
TRANSACTIONS AFFECTING NET WORTH:													
A1	Revenue	22,923.1	30,508.2	33,733.2	15,078.2	31,006.3	33,568.5	18,486.7	32,628.6	34,099.2	35,497.1	36,170.0	37,546.1
A11	Taxes	16,257.3	17,974.9	18,798.1	8,560.2	19,973.2	17,711.5	8,403.7	20,922.7	21,850.7	22,725.5	23,506.1	24,353.2
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll & workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	488.1	565.9	648.1	297.6	501.0	425.1	343.7	528.1	553.9	578.8	601.7	626.8
A114	Taxes on goods & services	12,235.1	13,720.8	14,515.4	6,935.8	15,637.4	13,876.6	6,571.7	16,352.1	17,057.0	17,716.7	18,298.7	18,928.3
A115	Taxes on international trade & transactions	3,534.1	3,688.3	3,634.7	1,326.8	3,834.7	3,409.8	1,488.2	4,042.5	4,239.8	4,430.1	4,605.7	4,798.1
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	0.0	0.0	0.0	0.0	489.0	4,019.6	2,133.0	590.5	590.5	590.5	0.0	0.0
A14	Other revenue	6,665.8	12,533.2	14,935.0	6,518.0	10,544.1	11,837.4	7,950.0	11,115.3	11,657.9	12,181.0	12,663.9	13,192.9
A2	Expense	19,390.4	21,924.5	25,573.6	12,018.9	27,843.1	34,474.8	14,688.4	26,352.5	26,814.0	27,255.7	27,573.3	28,068.5
A21	Compensation of employees	9,508.3	12,325.5	13,812.3	6,386.4	15,574.3	15,633.2	7,317.6	15,018.4	15,294.0	15,588.3	15,906.8	16,229.0
A22	Use of goods and services	4,973.7	4,570.8	5,863.1	2,398.2	6,454.3	8,710.5	3,229.9	9,612.6	9,807.2	10,012.3	10,073.2	10,306.4
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	390.1	959.2	1,004.5	407.5	837.0	837.0	376.1	736.0	727.3	669.6	607.7	547.5
A25	Subsidies	0.0	0.0	193.7	73.3	197.8	3,659.0	907.2	248.0	248.0	248.0	248.0	248.0
A26	Grants	1,547.3	2,473.8	2,381.3	1,456.5	2,601.5	2,996.8	1,737.9	556.9	556.9	556.9	556.9	556.9
A27	Social benefits	1,773.1	643.6	569.8	470.7	495.1	495.1	398.7	180.6	180.6	180.6	180.6	180.6
A28	Other expense	1,197.9	951.6	1,748.9	826.4	1,683.1	2,143.2	720.9	0.0	0.0	0.0	0.0	0.0
GOB	Gross operating balance (1-2+23+NOBz)	3,532.7	8,583.7	8,159.6	3,059.3	3,163.2	(906.3)	3,798.3	6,276.0	7,285.1	8,241.4	8,596.7	9,477.6
NOB	Net operating balance (1-2+NOBz) ^{c/}	3,532.7	8,583.7	8,159.6	3,059.3	3,163.2	(906.3)	3,798.3	6,276.0	7,285.1	8,241.4	8,596.7	9,477.6
TRANSACTIONS IN NONFINANCIAL ASSETS:													
A31	Net Acquisition of Nonfinancial Assets	719.6	599.3	1,000.9	399.4	3,274.4	3,163.8	453.8	837.6	856.1	875.8	897.2	918.8
A311	Fixed assets	719.6	599.3	1,000.9	399.4	3,274.4	3,163.8	453.8	837.6	856.1	875.8	897.2	918.8
A312	Change in inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	2,813.0	7,984.4	7,158.7	2,659.9	(111.1)	(4,070.0)	3,344.6	5,438.4	6,429.0	7,365.5	7,699.5	8,558.8
TRANSACTIONS IN FINANCIAL ASSETS AND													
A32	Net acquisition of financial assets	2,371.3	4,904.9	4,025.8	2,123.5	(4,716.8)	(8,675.7)	1,346.0	1,361.8	1,892.4	2,825.8	4,274.8	4,317.7
A321	Domestic	2,371.3	4,904.9	4,025.8	2,123.5	(4,716.8)	(8,675.7)	1,346.0	1,361.8	1,892.4	2,825.8	4,274.8	4,317.7
A3212	Currency and deposits	2,371.3	4,904.9	2,025.8	893.5	(4,716.8)	(9,365.9)	655.8	1,361.8	1,892.4	2,825.8	4,274.8	4,317.7
A3214	Loans	0.0	0.0	2,000.0	1,230.0	0.0	690.2	690.2	0.0	0.0	0.0	0.0	0.0
A322	Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	(441.8)	(3,079.5)	(3,132.9)	(536.4)	(4,605.7)	(4,605.7)	(1,998.6)	(4,076.6)	(4,536.6)	(4,539.8)	(3,424.7)	(4,241.2)
A331	Domestic	105.2	(1,615.7)	(672.9)	(262.1)	(1,427.4)	(1,427.4)	0.0	(908.6)	(1,111.9)	(1,115.1)	0.0	0.0
A332	Foreign	(546.9)	(1,463.9)	(2,460.0)	(274.3)	(3,178.3)	(3,178.3)	(1,998.6)	(3,168.0)	(3,424.7)	(3,424.7)	(3,424.7)	(4,241.2)

Source: Department of Finance and Treasury

Table 8: Statement of government operations funded by donors through the central Treasury account, using GFS01 classification, 2017 – 2025

STATEMENT OF DONOR OPERATIONS Using GFS01 classification		Actual 2017	Actual 2018	Actual 2019	Actual Jan-June 2019	Budget 2020	Revised Budget 2020	Actual Jan - Jun 2020	Forecast 2021	Forecast 2022	Forecast 2023	Forecast 2024	Forecast 2025
GFS Code	GFS Description												
TRANSACTIONS AFFECTING NET WORTH:													
A1	Revenue	10,858.0	8,586.8	11,104.6	6,200.5	8,580.1	7,417.7	3,967.9	9,842.4	8,669.7	9,256.0	8,962.9	9,109.5
A11	Taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll & workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A114	Taxes on goods & services	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A115	Taxes on international trade & transactions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	10,858.0	8,586.8	11,104.6	6,200.5	8,580.1	7,417.7	3,967.9	9,842.4	8,669.7	9,256.0	8,962.9	9,109.5
A14	Other revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A2	Expense	5,692.3	3,926.8	4,213.9	2,245.3	8,580.1	7,440.1	1,314.8	9,842.4	8,669.7	9,256.0	8,962.9	9,109.5
A21	Compensation of employees	458.3	293.9	224.3	109.8	619.4	536.5	88.5	672.8	592.6	632.7	612.7	622.7
A22	Use of goods and services	3,402.3	3,078.0	3,834.7	1,975.0	5,246.0	4,561.1	1,175.4	7,092.0	6,247.0	6,669.5	6,458.3	6,563.9
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	20.3	0.2	0.0	0.0	17.6	15.6	0.0	11.3	10.0	10.6	10.3	10.5
A25	Subsidies	0.0	0.0	0.0	0.0	0.0	0.0	3.3	0.0	0.0	0.0	0.0	0.0
A26	Grants	860.3	141.7	117.8	57.5	1,841.4	1,592.0	40.0	1,288.6	1,135.1	1,211.8	1,173.4	1,192.6
A27	Social benefits	949.3	405.6	46.2	102.8	848.4	733.4	7.6	777.7	685.0	731.3	708.2	719.7
A28	Other expense	1.7	7.4	-9.1	0.1	7.3	1.3	0.0	0.0	0.0	0.0	0.0	0.0
GOB	Gross operating balance (1-2+23+NOBz)	5,165.7	4,660.0	6,890.7	3,955.3	0.0	0.0	2,653.1	0.0	0.0	0.0	0.0	0.0
NOB	Net operating balance (1-2+NOBz) ^{c/}	5,165.7	4,660.0	6,890.7	3,955.3	0.0	0.0	2,653.1	0.0	0.0	0.0	0.0	0.0
TRANSACTIONS IN NONFINANCIAL ASSETS:													
A31	Net Acquisition of Nonfinancial Assets	9,116.6	(14,370.4)	8,990.9	2,673.8	4,962.2	8,024.3	2,130.1	4,658.1	2,932.3	1,725.7	1,009.9	2,581.5
A311	Fixed assets	9,116.6	(14,370.4)	8,990.9	2,673.8	4,962.2	8,024.3	2,130.1	4,658.1	2,932.3	1,725.7	1,009.9	2,581.5
A312	Change in inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	(3,950.9)	19,030.3	(2,100.2)	1,281.5	(4,962.2)	(8,046.7)	523.1	(4,658.1)	(2,932.3)	(1,725.7)	(1,009.9)	(2,581.5)
TRANSACTIONS IN FINANCIAL ASSETS AND													
A32	Net acquisition of financial assets	(3,950.9)	19,030.3	5,299.6	6,498.8	0.0	(3,084.5)	523.1	0.0	0.0	0.0	0.0	0.0
A321	Domestic	(3,950.9)	19,030.3	5,299.6	6,498.8	0.0	(3,084.5)	523.1	0.0	0.0	0.0	0.0	0.0
A3212	Currency and deposits	(3,950.9)	19,030.3	5,299.6	6,498.8	0.0	(3,084.5)	523.1	0.0	0.0	0.0	0.0	0.0
A3214	Loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A322	Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	0.0	0.0	7,399.8	5,217.3	4,962.2	4,962.2	0.0	4,658.1	2,932.3	1,725.7	1,009.9	2,581.5
A331	Domestic	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A332	Foreign	0.0	0.0	7,399.8	5,217.3	4,962.2	4,962.2	0.0	4,658.1	2,932.3	1,725.7	1,009.9	2,581.5

Source: Department of Finance and Treasury

Table 9: Statement of total government operations including donor financing (consolidated) using GFS01 classifications, 2017 – 2025

STATEMENT OF CONSOLIDATED OPERATIONS Using GFS01 classification		Actual 2017	Actual 2018	Actual 2019	Actual Jan-June 2019	Budget 2020	Revised Budget 2020	Actual Jan - June 2020	Forecast 2021	Forecast 2022	Forecast 2023	Forecast 2024	Forecast 2025
GFS Code	GFS Description												
TRANSACTIONS AFFECTING NET WORTH:													
A1	Revenue	33,781.1	39,095.0	44,837.8	21,278.7	39,586.4	40,986.3	22,454.6	42,470.9	42,768.9	44,753.1	45,132.8	46,655.6
A11	Taxes	16,257.3	17,974.9	18,798.1	8,560.2	19,973.2	17,711.5	8,403.7	20,922.7	21,850.7	22,725.5	23,506.1	24,353.2
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll & workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	488.1	565.9	648.1	297.6	501.0	425.1	343.7	528.1	553.9	578.8	601.7	626.8
A114	Taxes on goods & services	12,235.1	13,720.8	14,515.4	6,935.8	15,637.4	13,876.6	6,571.7	16,352.1	17,057.0	17,716.7	18,298.7	18,928.3
A115	Taxes on international trade & transactions	3,534.1	3,688.3	3,634.7	1,326.8	3,834.7	3,409.8	1,488.2	4,042.5	4,239.8	4,430.1	4,605.7	4,798.1
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	10,858.0	8,586.8	11,104.6	6,200.5	9,069.1	11,437.3	6,100.9	10,432.9	9,260.2	9,846.6	8,962.9	9,109.5
A14	Other revenue	6,665.8	12,533.2	14,935.0	6,518.0	10,544.1	11,837.4	7,950.0	11,115.3	11,657.9	12,181.0	12,663.9	13,192.9
A2	Expense	25,082.7	25,851.4	29,787.5	14,264.2	36,423.2	41,914.9	16,003.2	36,194.9	35,483.7	36,511.7	36,536.1	37,178.0
A21	Compensation of employees	9,966.6	12,619.4	14,036.7	6,496.2	16,193.7	16,169.8	7,406.1	15,691.2	15,886.7	16,221.0	16,519.5	16,851.7
A22	Use of goods and services	8,376.0	7,648.9	9,697.8	4,373.3	11,700.4	13,271.6	4,405.3	16,704.6	16,054.2	16,681.8	16,531.5	16,870.3
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	410.4	959.4	1,004.5	407.5	854.6	852.6	376.1	747.3	737.3	680.2	618.0	558.0
A25	Subsidies	0.0	0.0	0.0	73.3	197.8	3,659.0	910.5	248.0	248.0	248.0	248.0	248.0
A26	Grants	2,407.7	2,615.5	2,499.1	1,514.0	4,442.9	4,588.8	1,777.9	1,845.5	1,692.0	1,768.8	1,730.4	1,749.6
A27	Social benefits	2,722.5	1,049.2	616.0	573.5	1,343.5	1,228.6	406.3	958.3	865.6	911.9	888.8	900.4
A28	Other expense	1,199.6	959.1	1,739.8	826.5	1,690.4	2,144.5	720.9	0.0	0.0	0.0	0.0	0.0
GOB	Gross operating balance (1-2+23+NOBz)	8,698.4	13,243.6	15,050.3	7,014.5	3,163.2	(928.6)	6,451.5	6,276.0	7,285.1	8,241.4	8,596.7	9,477.6
NOB	Net operating balance (1-2+NOBz) ^{c/}	8,698.4	13,243.6	15,050.3	7,014.5	3,163.2	(928.6)	6,451.5	6,276.0	7,285.1	8,241.4	8,596.7	9,477.6
TRANSACTIONS IN NONFINANCIAL ASSETS:													
A31	Net Acquisition of Nonfinancial Assets	9,836.3	(13,771.1)	9,991.8	3,073.2	8,236.6	11,188.1	2,583.8	5,495.7	3,788.4	2,601.5	1,907.1	3,500.3
A311	Fixed assets	9,836.3	(13,771.1)	9,991.8	3,073.2	8,236.6	11,188.1	2,583.8	5,495.7	3,788.4	2,601.5	1,907.1	3,500.3
A312	Change in inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	(1,137.9)	27,014.7	5,058.5	3,941.3	(5,073.3)	(12,116.7)	3,867.6	780.3	3,496.7	5,639.9	6,689.6	5,977.3
TRANSACTIONS IN FINANCIAL ASSETS AND													
A32	Net acquisition of financial assets	(1,579.7)	23,935.2	9,325.4	8,622.2	(4,716.8)	(11,760.2)	1,869.1	1,361.8	1,892.4	2,825.8	4,274.8	4,317.7
A321	Domestic	-1,579.7	23,935.2	9,325.4	8,622.2	(4,716.8)	(11,760.2)	1,869.1	1,361.8	1,892.4	2,825.8	4,274.8	4,317.7
A3212	Currency and deposits	-1,579.7	23,935.2	7,325.4	7,392.2	(4,716.8)	(12,450.4)	1,178.9	1,361.8	1,892.4	2,825.8	4,274.8	4,317.7
A3214	Loans	0.0	0.0	2,000.0	1,230.0	0.0	690.2	690.2	0.0	0.0	0.0	0.0	0.0
A322	Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	(441.8)	(3,079.5)	4,266.9	4,680.9	356.5	356.5	(1,998.6)	581.5	(1,604.3)	(2,814.1)	(2,414.7)	(1,659.7)
A331	Domestic	105.2	(1,615.7)	(672.9)	(262.1)	(1,427.4)	(1,427.4)	0.0	(908.6)	(1,111.9)	(1,115.1)	0.0	0.0
A332	Foreign	(546.9)	(1,463.9)	4,939.8	4,943.0	1,783.9	1,783.9	(1,998.6)	1,490.1	(492.4)	(1,699.0)	(2,414.7)	(1,659.7)

Source: Department of Finance and Treasury